
Re: SBA 7A loan checklist and input forms

3 messages

Geoff Schackmann <gs@h-care.us>

Tue, Apr 28 at 9:13 PM

To: <john.hart@sourcefundingtexas.com>

John,

Thanks for the materials — clear and well-organized. Before I start filling things out, I want to align on three points:

1. CHOW-newco angle. The borrower will be Tyler Hospice Hold, LLC (Wyoming) — a newco I formed for this acquisition. I have 10+ years of hospice ownership and operations experience personally, but the borrower entity itself has no operating history. What lender profile are you planning to target, and is there anything you'd like me to emphasize in the package to address the CHOW + newco angle up front?
2. Loan sizing. The license acquisition is \$350K. My plan is to apply the \$300K SBA proceeds toward the purchase, with the balance covered by my equity injection at close — paying the seller in full and retiring what would otherwise be a 36-month seller note. Working capital is being handled through a separate path. Does this sizing work for you, or do you want to recommend expanding the request to include working capital in the SBA portion?
3. Co-investor structure. I have a committed equity investor (James Bullard) coming in alongside me. The cap table can be structured with him at either $\leq 19.9\%$ equity (avoiding the SBA mandatory personal guarantee per 13 CFR §120.160) or at 25% with a PG. Which do you advise for the package, and should I lock that structure before lender outreach?

A couple of items off your checklist I can confirm now to simplify things:

- No real estate is part of this transaction
- No affiliated companies — this will be my only operating entity

Happy to jump on a call if that's faster — otherwise written replies are fine. Once these are settled I'll move quickly on the rest of the package.

Thanks,
Geoff

John Hart <john.hart@sourcefundingtexas.com>

Wed, Apr 29 at 5:46 AM

To: Geoff Schackmann <gs@h-care.us>

Good to hear back from you Geoff. Here are my responses...

1. We would like to show it as an expansion of an existing business. That allows us to use the historical cash flows of the existing business to support the expansion into the new location. The new business can still be in a newly formed entity, but to utilize this structure the existing business would have to guarantee the loan. This really helps if it fits your situation. Depends largely on the ownership of the existing business. If it is 100% owned by you it should work because you must guarantee the loan personally anyway. You mention 10 years of hospice "ownership". I am assuming that you still own the business.
2. The proposed loan size works for most of my lenders but not all. Some will not consider projects of less than \$500K. If you roll the working capital into the loan it provides 10 year financing for the working capital (along with the business). One of my lenders provides a LOC with all of their loans. However, with that lender we MUST structure it as an expansion. For a startup business, they want 30% down.
3. Regarding the investor, you have understood the SBA rule correctly. The choice depends on 1) the financial strength of the investor vs. your financial strength and 2) his willingness to guarantee the new debt. It always helps to have two individuals guaranteeing the loan.
4. You said that there will be no affiliated businesses, but you also said you have owned a hospice for 10 years. If you no longer own that business, what happened to it? As I stated above, expansions are much easier to place than pure startups.

John W. Hart
SourceFunding, LLC
o) 903-405-5577
c) 903-571-9494
john.hart@sourcefundingtexas.com
www.sourcefundingtexas.com

CONNECTING PASSION WITH RESOURCES

Sent from my iPad.

On Apr 28, 2026, at 11:13 PM, Geoff Schackmann <gs@h-care.us> wrote:

[Quoted text hidden]

Geoff Schackmann <gs@h-care.us>
To: John Hart <john.hart@sourcefundingtexas.com>

Thu, May 14 at 11:33 AM

Hi John,

I am writing to follow up and confirm that I am moving forward with this. I just tried calling you to discuss some updates regarding the license, which is a critical component for the expansion and underwriting process.

Do you have time for a brief call to catch up? I would like to provide you with these updates before I finalize and return the documents to you.

I appreciate your help.

All the best,

Geoff Schackmann

All the best,

Geoff Schackmann
Founding Principal
480-495-5474

[Quoted text hidden]